MARLOWE GREAVES LLP

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Our ref: MG/CV/2291 Your ref: SW/PR-LIT/00175

Whitfield Carter LLP, 22 Bishopsgate, London EC2N 4BQ

FAO Ms Sarah Whitfield

7 April 2025

Dear Sirs

Penrose Robotics Limited and Caldervale Distribution Limited — Agreement dated 22 January 2024 — Letter of Response

We act for Caldervale Distribution Limited and write in response to your letter of claim dated 10 March 2025. Your client’s claim is denied in full and our client intends to counterclaim.

1. Our client’s position is that the System supplied by your client simply did not work to the contractual standard. During the Acceptance Period, measured throughput averaged 521 units per hour per zone against the contractual 650, and fleet availability averaged 93.8% against the contractual 98%. Those are not marginal shortfalls.

2. Your client’s attempt to blame our client’s data and IT environment is rejected. The SKU master provided was accurate in all material respects and any minor discrepancies were corrected promptly. The hosting arrangements were those your client surveyed and approved before go-live. Clause 7 imposed, at most, reasonable co-operation obligations, all of which our client discharged.

3. Milestone 4 was, by clause 12.3, payable only on System Acceptance, which never occurred. Our client was fully entitled to withhold the sums your client now claims, and was entitled to terminate by its letter of 7 February 2025 following your client’s failure to achieve acceptance by the 31 January 2025 longstop.

4. Our client has suffered substantial loss, including lost margin and additional agency labour during the 2024 peak, remediation and re-slotting costs, and the cost of procuring a replacement system. Those losses, presently quantified at approximately £2.1 million, will be the subject of a counterclaim.

5. Our client is, however, willing to explore mediation once pleadings have been exchanged. We invite your client to confirm whether it will agree to a stay for that purpose.

Yours faithfully

Marlowe Greaves LLP